

- Business Strategy for the Rental Housing Market Entering an Era of Full-Scale Competition
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- Introduction

The average lifespan of housing in Japan is only 26 years, compared with 44 years in the United States and 75 years in the United Kingdom.

One of the principal reasons for this difference is believed to be the structure of Japan's housing market, which historically prioritized land acquisition rather than the long-term value of buildings themselves.

As a result, incentives to maintain and improve housing quality through appropriate maintenance management remained weak. Consequently, Japan's existing-home market, rental housing market, and renovation market have remained significantly underdeveloped compared with those in Western countries.

According to future population projections available at the time, Japan's population was expected to peak at approximately 128 million people in 2007.

At the same time, Japanese society was undergoing major structural transformation:

- From an aging society to a super-aging society
- From an urbanizing society to a mature urban society
- From housing shortage toward housing stock surplus

Under these conditions, consumers and tenants were gaining increasingly diverse housing choices.↵

Social changes had already begun to emerge, including:↵

- High-rise urban condominiums promoting job-residence proximity in central Tokyo↵
- Simultaneous aging of suburban new towns causing decline in local vitality↵
- Rapid demographic changes and diversification of personal values↵

Furthermore, the Japanese government began promoting a new housing policy focused on:↵

- Forming high-quality housing stock↵
- Properly maintaining housing assets↵
- Encouraging circulation and reuse of housing stock↵
- Establishing new systems for improving residential standards↵

As market mechanisms were introduced into the rental housing sector, tenants gained access to abundant and higher-quality information, making it easier to compare and select rental properties based on quality and performance.↵

Under these circumstances, the conventional short-cycle “scrap-and-build” business model — in which rental housing was rebuilt every 15 to 20 years primarily for business profitability and tax strategy — was becoming increasingly unsustainable.↵

Especially under emerging social constraints such as global environmental issues, this model could no longer remain viable within the coming housing stock era.↵

This report therefore proposes fundamental strategic principles for managing rental housing businesses within an era of housing stock expansion and full-scale market competition.↵

Kizawa & Company non-stop innovation↵

▪ 1. Transition of Housing Policy Toward a Stock-Oriented and Market-Oriented System↵

Based on the 2003–2004 Ministry of Land, Infrastructure and Transport White Paper and the proposal “Toward a New Housing Policy Suitable for the 21st Century”

(September 2003), the following points were identified as having significant influence on future rental housing management.↵

▪ **Rapid Changes in Population and Household Structure**↵

According to future demographic projections, Japan's population was expected to peak in 2007 at approximately 128 million people and subsequently begin declining.↵

The number of ordinary households was projected to increase from 46.41 million in 2000 to 49.29 million in 2014.↵

However, compared with the increase of 9.42 million households during the previous 15 years (1985–2000), the pace of household growth was expected to slow dramatically.↵

Two major trends were identified:↵

- Rapid increase in elderly households↵
- Increase in single-person households↵

The number of households headed by persons aged 65 or older was projected to increase by approximately 5.6 million between 2000 and 2015.↵

Single-person households were also projected to increase significantly.↵

Among them, elderly single-person households would rise substantially, while younger single-person households were expected to decrease due to declining birthrates.↵

▪ **Unfulfilled Consumer Needs**↵

▪ **1. Growing Dissatisfaction with Housing Performance**↵

Survey results showed that dissatisfaction with housing conditions was substantially higher among rental-housing residents than among owner-occupiers.↵

Particularly high dissatisfaction levels were observed regarding:↵

- Accommodation for elderly residents↵
- Sound insulation performance↵
- Thermal insulation performance↵
- Housing equipment and overall housing performance↵

Dissatisfaction with sound and thermal insulation exceeded dissatisfaction regarding dwelling size itself.<

▪ 2. Difficulty of Flexible Relocation According to Life Stages<

For consumers to relocate flexibly according to changing life stages, a reliable existing-home market is essential.<

However, Japan's housing market remained heavily centered on newly built housing, with existing-home transactions occupying a far smaller share compared with Western countries.<

The average lifespan of demolished housing in Japan was approximately 26 years, far shorter than:<

- United States: 44 years<
- United Kingdom: 75 years<

Several factors contributed to this short lifespan:<

- Demand for larger homes during rapid economic growth<
- Rapid urban transformation due to migration into cities<
- Housing acquisition behavior heavily focused on land ownership<

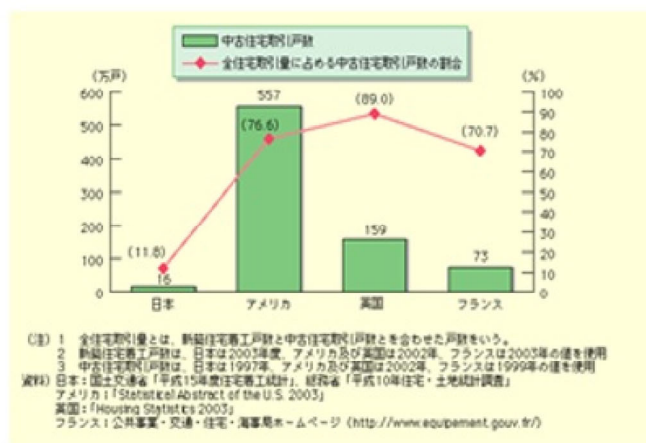


Figure 1: International Comparison of Existing Home Sales Volume<

▪ Land-Oriented Housing Acquisition as the Root Cause of Low Housing Stock Quality<

Traditional Japanese housing acquisition behavior was often described as the “housing sugoroku” model.<

Under continuous economic growth and seniority-based wage increases, households typically progressed from:↵

Rental housing → Condominium ownership → Detached suburban home ownership↵

At the same time, continuously rising land prices enabled capital gains from land ownership.↵

As a result, consumers prioritized land acquisition itself rather than the long-term quality and durability of the building structure.↵

This weakened incentives to:↵

- Treat buildings as long-term assets↵
- Invest in higher-quality structures↵
- Maintain buildings appropriately over time↵

Consequently:↵

- Existing-home markets↵
- Rental housing markets↵
- Renovation markets↵

failed to develop sufficiently.↵

Instead, housing quality improvements were achieved primarily through repeated demolition and rebuilding, resulting in Japan's unusually short housing lifespan.↵

▪ Policy Shift from Public Supply and New Construction Toward Market Utilization and Housing Stock Utilization↵

According to the September 11, 2003 proposal by the Social Infrastructure Development Council Housing Subcommittee titled:↵

“Toward a New Housing Policy Suitable for the 21st Century,”↵

Japan's housing policy was expected to undergo a major transformation.↵

Previous housing policy had focused mainly on:↵

- Direct public housing supply↵
- New housing construction↵
- Hardware-oriented housing quantity expansion↵

However, future policy would increasingly emphasize:↵

- Lifestyle and residential environment quality↵
- Market-based housing systems↵
- Effective utilization of existing housing stock↵

To respond to increasingly diversified and sophisticated consumer needs, market-based mechanisms were considered more effective.↵

At the same time, proper utilization and circulation of housing stock would become essential in enabling citizens to choose housing according to their preferred scale, price, and lifestyle.↵

Policies promoting:↵

- Existing-home circulation↵
- Smooth residential relocation↵
- Renovation and maintenance↵
- Long-term quality preservation↵

were identified as critical future directions.↵

▪ 2. Intensifying Competition in the Rental Housing Market↵

▪ Expansion of the Existing Housing Market and Its Impact on Rental Housing↵

▪ 1. Rapid Growth of the Existing Housing Market↵

Due to prolonged stagnation in land prices and housing prices, acquisition costs for residential property had fallen significantly.↵

However, new housing starts were not expanding rapidly.↵

Instead, future housing supply was expected to increasingly come from existing housing stock.↵

This transition was expected to accelerate due to:↵

- Expansion of securitization systems↵
- Reverse mortgage systems↵
- Leaseback systems↵

- Fixed-term lease systems↵
- Sublease arrangements↵
- Legal reforms supporting housing circulation↵

As a result, a matching system between diversified consumer needs and existing housing stock was expected to emerge rapidly.↵

▪ 2. Limits of the Traditional Scrap-and-Build Rental Housing Model↵

Many low-rise apartment buildings supplied to the rental market were being demolished and rebuilt after only 15 to 20 years.↵

This was not necessarily due to physical deterioration, but rather due to the arrival of “social obsolescence,” meaning that buildings could no longer satisfy changing tenant needs.↵

In many cases:↵

- Construction↵
- Tenant recruitment↵
- Lease management↵
- Rent guarantees↵

were handled by a single company or affiliated group.↵

Although vacancy risk remained relatively low during the initial years, vacancy rates often increased significantly after five years.↵

Before sufficient cash-flow-based capital recovery could be achieved, new construction cycles would begin again.↵

In the future, such traditional scrap-and-build rental housing models were expected to become unsustainable except in extremely favorable locations.↵

This was because properly maintained and renovated high-quality existing homes would increasingly enter both the existing-home market and rental housing market.↵

As fixed-term rental systems expanded, downward pressure on market rents was expected to intensify further.↵

▪ 3. Long-Life Rental Housing Construction Systems Required by the Market↵

➤ Development Trends in New Technologies for the Housing Stock Era↵

Japan's Ministry of Land, Infrastructure and Transport identified the need to support long-life housing systems such as skeleton-infill housing that combine:↵

- High durability↵
- Flexibility according to resident needs↵
- Environmental sustainability↵

The ministry also emphasized the importance of technological development related to:↵

- Durability diagnostics for concrete structures↵
- Effective seismic retrofit technologies↵
- Shortened construction periods↵
- Renovation while occupied↵
- Barrier-free technologies↵
- Elevator installation technologies↵

The government further recognized the importance of developing methods to properly evaluate cost-effectiveness.↵

Recently, major real estate companies began developing highly flexible condominium systems with thicker structural walls and adaptable floor planning.↵

Major prefabricated housing manufacturers also began redesigning structural systems to allow future floor-plan modification.↵

As a result, highly adaptable construction systems responsive to changing lifestyles and life stages were expected to spread throughout the market.↵

▪ RC Upright Construction Method↵

The RC Upright Construction Method was developed and patented by Akatsu Design Office in Nagoya, Japan.↵

The system combines:↵

- Reinforced concrete structural durability↵

- Skeleton-infill flexibility↵
- High sound insulation performance↵
- Seismic resistance↵
- Flexible ownership structures↵

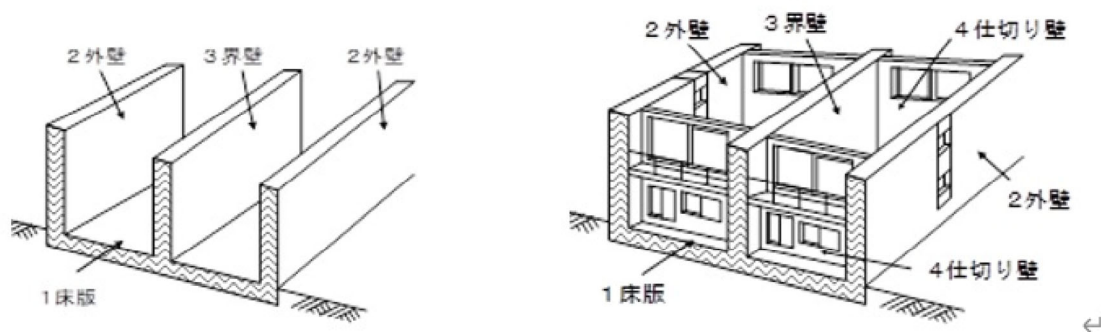
The method enables efficient land utilization and sectional ownership within limited sites.↵

Two terrace-house rental projects comprising six residential units were already constructed in Nagoya.↵

These projects achieved rental income approximately 30% higher per square meter than surrounding market averages.↵

▪ Figure 2 — Basic Concept of the RC Upright Construction Method↵

Figure 2: Core Concept of RC Upright Construction Method Housing↵



Core concept:↵

- Permanent reinforced concrete structural core↵
- Replaceable and adaptable infill components↵
- Long-term asset continuity↵
- Minimized rebuilding costs↵
- Flexible future renovation↵

Advantages and Problems of Existing Construction Systems

The advantages and disadvantages of various conventional construction methods are summarized in Figure 3.

Figure 3: Advantages and Disadvantages of Various Construction Methods

Construction Method	Advantages	Problems
Reinforced Concrete	Excellent durability, fire resistance, sound insulation	Difficult to modify after construction
Wooden Post-and-Beam	Easy modification	Inferior durability and sound insulation
Two-by-Four	Efficient construction	Limited flexibility
Steel Structure	Lightweight and earthquake resistant	Fireproofing and sound insulation are expensive

Common Problems:

- Exterior design modification affects structural integrity
- Partial renovation without affecting adjacent sections is difficult

Advantages of the RC Upright Construction Method

Figure 4 break down the benefits of the RC Upright Construction Method into specific housing performance categories and their corresponding effects.

Figure 4: Effects and Benefits of the RC Upright Construction Method by Housing Performance Category

Housing Performance	Effects	Benefits
Durability	Long-lasting RC structural components	Long-term asset continuity
Fire Resistance	Improved fire protection	Increased safety
Sound Insulation	Improved acoustic separation	Higher resident satisfaction
Layout Flexibility	Easy modification according to family structure	Adaptation to changing lifestyles
Exterior Flexibility	Exterior redesign without structural impact	Long-term market competitiveness

Housing Performance↵	Effects↵	Benefits↵
Renovation Capability↵	Foundation repair without full demolition↵	Reduced relocation costs↵
Ownership Flexibility↵	Sectional ownership possible↵	Improved liquidity and subdivision↵
Environmental Adaptability↵	Reduced concrete usage↵	Lower demolition waste↵
Economic Efficiency↵	Simplified RC wall structure↵	Reduced construction costs↵

▪ Adaptability to Multiple Building Uses↵

The RC Upright Construction Method can be applied to:↵

- Terrace-house rental housing↵
- Detached housing↵
- Commercial facilities↵
- Mixed-use residential/commercial buildings↵
- Office buildings↵
- Lodging facilities↵

The lifespan of housing is determined not only by physical durability but also by social lifespan.↵

Changes in:↵

- Family structure↵
- Urban development cycles↵
- Neighborhood maturity and decline↵
- Lifestyle diversification↵

all influence social obsolescence.↵

To extend social lifespan, housing systems must possess high adaptability and low-cost renovation capability.↵

The RC Upright Construction Method responds effectively to these emerging social needs.↵

▪ 4. Rental Housing Business Strategy in the Housing Stock Era↵

▪ Simultaneous Achievement of Long-Term Durability and Flexibility↵

As the housing stock era advances, competition within the rental housing market is expected to intensify significantly.↵

Large volumes of detached homes and condominium units originally constructed as owner-occupied housing are expected to enter both the existing-home market and rental housing market.↵

This will create:↵

- Deflationary pressure on rents↵
- Greater transparency regarding property quality↵
- Clear market selection between superior and inferior properties↵

Future rental housing projects must therefore:↵

- Be designed with 70+ year time horizons↵
- Maximize location-specific advantages↵
- Clearly define target tenant demographics↵
- Adapt to increasingly diverse consumer needs↵

Structural components should possess long physical lifespan while simultaneously maintaining adaptability through renovation and flexible design.↵

Business planning must therefore be based on long-term cash-flow analysis.↵

At the same time:↵

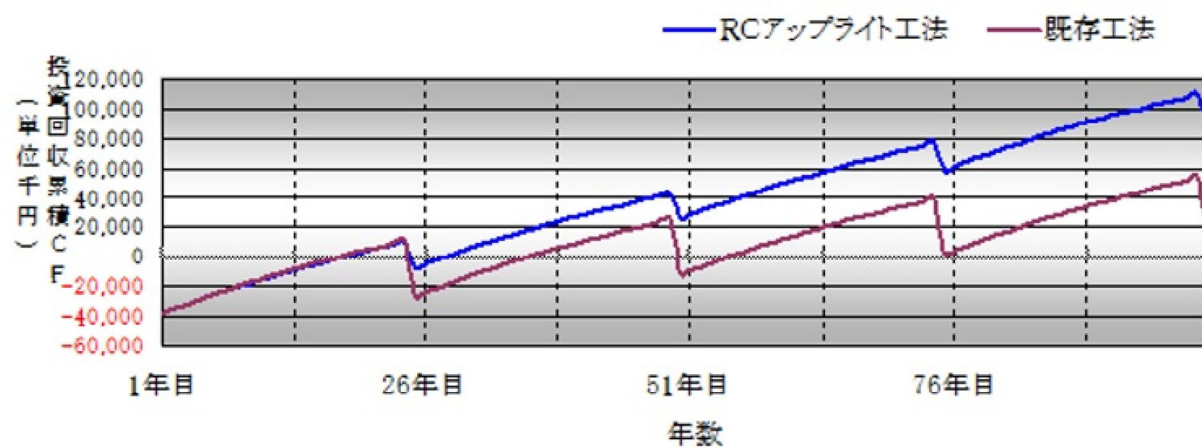
- Appropriate maintenance↵
- Prevention of asset deterioration↵
- Enhanced resident services↵
- High tenant satisfaction↵

will become essential strategic elements.↵

As existing-home markets mature, rental housing assets may increasingly be valued using discounted cash flow (DCF) analysis.↵

Thus, high-quality adaptable housing systems may significantly improve long-term asset liquidity and reduce investment risk.↵

Figure 5: Cash Flow-Based Business Feasibility Simulation: Conventional Rental Housing vs. Long-Life Rental Housing via the RC Upright Construction Method



Inheritance Tax Perspective

Income-generating real estate such as rental housing possesses significant inheritance-tax advantages compared with undeveloped land or financial assets.

However, inherited buildings often impose substantial maintenance and repair burdens on heirs.

Although both conventional construction and RC Upright Construction receive similar inheritance tax valuation reductions, the RC Upright system offers important advantages:

- Reduced rebuilding burden
- Preservation of asset value
- Continued profitability
- Easier sectional sale of individual units
- Reduced investment recovery risk

The RC Upright system therefore represents an effective long-term inheritance and asset-management strategy.

[Profile]

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- **Certified Member of the Securities Analysts Association of Japan (CMA)** (Qualified in 1992)

Professional Experience:

- **March 1984:** Graduated from Meiji University, Faculty of Commerce. Subsequently spent 19 years at Nomura Securities Co., Ltd., where he engaged in international investment banking operations based in Australia, Thailand, and Singapore. He managed a wide range of clients—including domestic and international small-to-medium enterprises (SMEs), startups, listed corporations, and local government bodies—specializing in M&A advisory and financial consulting services.
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- **July 2003:** Established Kizawa & Company, Inc., a management consulting firm, where he currently serves as President.
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